10

Earnings, Earnings, Earnings

Let's say you noticed Sensormatic, the company that invented the clever tag and buzzer system for foiling shoplifters, and whose stock rose from $2 to $42 as the business expanded between 1979 and 1983. Your broker tells you it's a small company and a fast grower. Or perhaps you've reviewed your portfolio and you've found two stalwarts and three cyclicals. What possible assurance do you have that Sensormatic, or any of the stocks you own already, will go up in price? And if you're buying, how much should you pay?

What you're asking here is what makes a company valuable, and why it will be more valuable tomorrow than it is today. There are many theories, but to me, it always comes down to earnings and assets. Especially earnings. Sometimes it takes years for the stock price to catch up to a company's value, and the down periods last so long that investors begin to doubt that will ever happen. But value always wins out—or at least in enough cases that it's worthwhile to believe it.

Analyzing a company's stock on the basis of earnings and assets is no different from analyzing a local laundromat, drugstore, or apartment building that you might want to buy. ***Although it's easy to forget sometimes, a share of stock is not a lottery ticket. It's part ownership of a business.***

Here's another way of thinking about earnings and assets. If you were a stock, your earnings and assets would determine how much an investor would be willing to pay for a percentage of your action. Evaluating yourself as you might evaluate General Motors is an instructive exercise, and it helps you get the hang of this phase of the investigation.

The assets would include all your real estate, cars, furniture, clothes, rugs, boats, tools, jewelry, golf clubs, and everything else that would go in a giant garage sale, if you decided to liquidate yourself and go out of business. Of course you'd have to subtract all outstanding mortgages, liens, car loans, other loans from banks, relatives, or neighbors, unpaid bills, IOUs, poker debts, and so forth. The result would be your positive bottom line, or book value, or net economic worth as a tangible asset. (Or if the result is negative, then you're a human candidate for Chapter 11.)

As long as you're not liquidated and sold off to the creditors, you also represent the other kind of value: the capacity to earn income. Over your working life you may bring home either thousands, hundreds of thousands, or